Ans. (c): All revenues received by the Union Government by way of taxes and other receipts for the conduct of government business are credited to the consolidated fund of India. Consolidated Fund of India is the most important of all government accounts. This fund was constituted under Article 266 (1) of the Constitution of India. All revenues received by the government by way of direct taxes and indirect taxes, money borrowed as receipts from loans given to the government flow into the Consolidated Fund of India.

• Legislature : Council of Ministers

34. Under the constitution of India, Which one of the following is not a fundamental duty?

(a) To vote in public elections
(b) To develop the scientific temper
(c) To safeguard public property
(d) To abide by the constitution and respect its ideals

Ans. (a) : Under the constitution of India, to vote in public elections is not a fundamental duty.

• Panchayati Raj System, Constitutional Amendments and Schedules, Acts

35. The Constitution (Seventy-Third Amendment) Act, 1992, which aims at promoting the Panchayati Raj Institutions in the country, provides for which of following?

1. Constitution of District Planning Committees.
2. State Election Commissions to conduct all panchayat elections.
3. Establishment of State Finance Commissions.

Select the correct answer using the codes given below

(a) 1 only (b) 1 and 2 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans. (*) : District Planning Committee (DPC) is a constitutional Body mentioned in 74th constitutional amendment 1992, article 243 (ZD). The committee composed of elected member of local bodies of urban or rural areas, and nominated members within districts.
State Election commission in a constitutional body that comes under the article 243 (K).
State finance Commission is also a constitutional body that comes under article 243(I).
Hence option (c) should be correct answer.
Note : According to UPSC official Answer Key (d) is correct answer.

36. India is a home to lakh of persons with disabilities. What are the benefits available to them under the law?

1. Free schooling till the age of 18 years in government-run schools.
2. Preferential allotment of land for setting up business.
3. Ramps in public buildings.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 and 3
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (d) : All the above provisions are mentioned in the persons with Disabilities (equal opportunities, protection of rights and full participation) Act, 1995.

37. With reference to Aam Admi Bima Yojana Consider the following statements :

1. The member insured under the scheme must be the head of the family or an earning member of the family in a rural landless house-hold.
2. The member insured must be in the age group of 30 to 65 years.
3. There is a provision for free scholarship for up to two children of the insured who are studying between classes 9 and 12.

Which of the statements given above is/are correct?

(a) 1only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (c) : Aam Admi Bima Yojna (AABY) is a government of India social security scheme administered through Life Insurance Corporation of India (LIC) that provides death and disability cover to the head of the family between the age group of 18 to 59 years, under 48 identified vocational/occupational groups/rural landless households. The scheme also provides an add-on-benefit wherein scholarship of Rs. 100 month per child is paid on a half-yearly basis to a maximum of two children per member, studying in 9th to 12th standard.

38. Among the following who are eligible to benefit from the Mahatma Gandhi National Rural Employment Guarantee Act?

(a) Adult members of only the scheduled caste and scheduled tribe households.
(b) Adult members of below poverty line (BPL) households.
(c) Adult members of households of all backward communities.
(d) Adult members of any household.

Ans. (d) : Mahatma Gandhi National Rural Employment Guarantee Act is an Indian Labour law and social security measure that aims to guarantee the 'right to work'. This Act was passed in September 2005.The MGNREGA was initiated with the objective of "enhancing livelihood security in rural areas by providing at least 100 days of guaranteed wage employment in a financial year, to every household whose adult members volunteer to do unskilled manual work".

39. Consider the following statements :

In India, a Metropolitan Planning Committee –

1. Is constituted under the provisions of the Constitution of India.
2. Prepares the draft development plans for metropolitan area.
3. Has the sole responsibility for implementing Government sponsored schemes in the metropolitan area.

Which of the statements given above is/are correct?

(a) 1 and 2 only (b) 2 only
(c) 1 and 3 (d) 1, 2 and 3

Ans. (a): Article 243 ZE of part IX-A of the constitution of India mandates the formation of Metropolitan Planning Committees (MPCs) Accordingly, in each metropolitan area, a Metropolitan Planning Committee will be set up to prepare a development plan for the entire metropolitan area.

40. With reference to the Finance Commission of India, which of the following statements is correct?

(a) It encourages the inflow of foreign capital for infrastructure development.
(b) It facilitates the proper distribution of finances among the Public Sector Undertakings.
(c) It ensures transparency in financial administration.
(d) None of the statements (a), (b) and (c) given above is correct in this context.

Ans. (d): The President of India established the Finance Commission of India in 1951, under Article 280 of the Indian Constitution. It was formed with an objective to define the financial relations between the central government of India and the state governments. There have been fifteen finance commissions till date. The most recent was constituted in 2017 and is chaired by N.K. Singh.

ECONOMICS

41. A 'closed economy'' is an economy in which –

(a) the money supply is fully controlled.
(b) deficit financing takes place.
(c) only exports take place.
(d) neither exports nor imports take place.

Ans. (d) : A closed economy is an economy where there is neither import nor export. That is, a closed economy is an economy that keeps off the import and export of goods and services. Hence, (d) is correct.

42. In the context of Indian economy, consider the following statements.

1. The growth rate GDP has steadily increased in the last five years.
2. The growth rate in per capita income has steadily increased in the last five years.

Which of the statements given above is/are correct ?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither1 and nor 2

Ans. (d): Except for the slowdown in the year 2008-09, the Indian economy has consistently grown and at incrementing rate.

43. In India, which of the following have the highest share in the disbursement of credit to agriculture and allied activities?

(a) Commercial Banks
(b) Cooperative Banks
(c) Regional Rural Banks
(d) Microfinance Institutions.

Ans. (a) : Commercial banks account for the largest share of expenditure in agriculture and allied sectors. Commercial banks provided direct loans of Rs. 140380 crore to the agricultural sector along with the regional rural banks in 2006-07, while the regional rural bank provided an annual loan of about Rs. 20440 crore.

• Economic Planning & National Income /Budget

44. In the Union Budget 2011-12, a full exemption from the basic customs duty was extended to the bio-based asphalt (bioasphalt). What is the importance of this material?

1. Unlike traditional asphalt, bio-asphalt is not based on fossil fuels.
2. Bioasphalt can be made from non-renewable resources.
3. Bioasphalt can be made from organic waste materials.
4. It is eco-friendly to use bioasphalt for surfacing of the roads.

Which of the statements given above are correct

(a) 1, 2 and 3 (b) 1, 3 and 4
(c) 2 and 4 (d) 1, 2, 3 and 4

Ans. (b): Bio-asphalt is an alternative to conventional asphalt, which is not manufactured based on fossil fuels. It is manufactured from non-petroleum based renewable sources. These sources include maize, paddy, sugar, molasses, waste of white mustard oil, waste of palm oil, lignin etc. Bio-asphalt is helpful in keeping the surface temperature of the roads low. Therefore, laying the top surface of roads with bio-asphalt is eco-friendly.

45. Both Foreign Direct Investment (FDI) and Foreign Institutional Investment (FII) are related to investment in a country. Which one of the following statements best represents an important difference between the two ?